

Amazon.com

1Q Preview: expect Retail and AWS beat with growing Anthropic contribution

Reiterate Rating: BUY | PO: 298.00 USD | Price: 250.56 USD

1Q Preview: topline driven by AWS and Retail acceleration

Reports 4/29; for 1Q, we now estimate revenue/EBIT of \$178.4bn/\$21.4bn, above Street at \$177.1bn/\$20.7bn. We are raising our y/y AWS growth est. to 28%, above Street at 25%, but we believe expectations could be as high as 29% (a 5ppt accel, or +\$2.2bn q/q) driven by Anthropic-related revenues. AI revenues may be dilutive to overall margins, a risk in the quarter, but layoffs and strong core AWS margins could offset. Microsoft and Google report the same day as Amazon, & comparisons will shape views on the quarter.

Expect strong NA Retail & Cloud revs, mixed margin items

BAC aggregated credit & debit card data indicates Online spend accelerated 3ppts q/q. Given our expectations for continued share gains, we think N.A. Retail could be 1-2% above of Street, which is at stable 10% N.A. Retail growth. For AWS, we estimate the Anthropic q/q ramp could contribute \$1.3bn in AWS revenues, while core AWS workloads will remain strong. Margins have many puts-and-takes; the Jan. layoffs should help along with AWS capacity shortages to aid core pricing, while the big ramp in lower-margin AI revenues, Leo investment growth, and Intl FBA price actions are potential headwinds.

2Q Outlook: Revenues are the opportunity, margins a risk

For 2Q, we expect rev. guidance of \$185bn-\$190bn (+5% q/q at midpoint) and operating income of \$17.5bn-\$21.5bn (-9% q/q vs BofA 1Q profit at mdpt). We are constructive on revs., which could be aided by a possible June Prime Day, but margins are a risk (Leo ramp, lower AI margins, etc). Our bias for the 2026 capex outlook is stable-to-higher (vs \$200bn) given higher memory costs and recently signed OpenAI capacity deal, but we expect Amazon to make a strong case for capex ROI, consistent with SH Letter.

Commentary on AI returns to drive the stock; Buy

Amazon stock is up 9% YTD vs the S&P 500 up 4%, with a driver being the CEO's recent comments on the significant AI opportunity and that AI capex will be monetized in 2027-2028. In our view, the quarter will underscore strong demand for AWS and an improving technology position vs peers (Trainium demand, OpenAI alliance and optimism on Bedrock), but if incremental q/q AWS margins are low, concerns on capex returns could resurface. We continue to see Amazon as very well positioned to benefit from growing corporate demand for AI capacity, and reiterate our Buy rating. We raise our PO from \$275 to \$298, representing a higher 9x revenue multiple on AWS (up from 8x) given higher growth expectations.

Estimates (Dec) (US\$)	2024A	2025A	2026E	2027E	2028E
EPS	5.53	7.17	7.70	9.49	11.99
EPS Change (YoY)	90.7%	29.7%	7.4%	23.2%	26.3%
Consensus EPS (Bloomberg)			9.15	10.87	12.86
Consensus EPS (Visible Alpha)			7.74	9.49	11.64
Valuation (Dec)					
P/E	45.3x	34.9x	32.5x	26.4x	20.9x
EV / EBITDA*	18.2x	15.4x	12.5x	10.0x	7.8x
Free Cash Flow Yield*	1.5%	0.4%	-1.2%	0.4%	1.6%

* For full definitions of *IQmethod*SM measures, see page 17.

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12960739

20 April 2026

Equity

Key Changes

(US\$)	Previous	Current
Price Obj.	275.00	298.00
2026E Rev (m)	811,859.7	813,127.4
2027E Rev (m)	916,769.1	920,212.7
2028E Rev (m)	1,032,713.9	1,039,278.5
2026E EPS	7.67	7.70
2027E EPS	9.43	9.49
2028E EPS	11.87	11.99

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Stock Data

Price	250.56 USD
Price Objective	298.00 USD
Date Established	20-Apr-2026
Investment Opinion	B-1-9
52-Week Range	165.29 USD - 258.60 USD
Mrkt Val (mn) / Shares Out (mn)	2,548,446 USD / 10,171.0
Free Float	90.4%
Average Daily Value (mn)	11368.77 USD
BoFA Ticker / Exchange	AMZN / NAS
Bloomberg / Reuters	AMZN US / AMZN.OQ
ROE (2026E)	16.2%
Net Dbt to Eqty (Dec-2025A)	8.6%

AWS: Amazon Web Services

N.A.: North America

ARR: Annualized Run-Rate Revenue

LEO: Low Earth Orbit

SH: Shareholder

FBA: Fulfilled By Amazon

iQprofileSM Amazon.com

iQmethodSM – Bus Performance*

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Return on Capital Employed	20.4%	16.5%	16.0%	16.6%	17.5%
Return on Equity	23.4%	20.4%	16.2%	16.2%	16.5%
Operating Margin	14.3%	14.5%	15.3%	16.5%	18.3%
Free Cash Flow	38,219	11,194	(30,672)	8,990	40,712

iQmethodSM – Quality of Earnings*

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash Realization Ratio	2.0x	1.9x	2.2x	2.5x	2.4x
Asset Replacement Ratio	1.5x	2.0x	2.4x	2.2x	1.7x
Tax Rate	14.0%	20.6%	18.9%	18.6%	18.8%
Net Debt-to-Equity Ratio	21.0%	8.6%	13.1%	9.6%	3.1%
Interest Cover	38.0x	45.8x	49.0x	NM	NM

Income Statement Data (Dec)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Sales	637,959	716,924	813,127	920,213	1,039,278
% Change	11.0%	12.4%	13.4%	13.2%	12.9%
Gross Profit	311,671	360,510	420,829	491,216	571,603
% Change	15.4%	15.7%	16.7%	16.7%	16.4%
EBITDA	144,162	169,837	210,019	261,697	334,839
% Change	30.7%	17.8%	23.7%	24.6%	27.9%
Net Interest & Other Income	21	17,336	2,180	2,640	2,840
Net Income (Adjusted)	56,832	73,724	79,218	97,588	123,293
% Change	90.8%	29.7%	7.5%	23.2%	26.3%

Free Cash Flow Data (Dec)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Net Income from Cont Operations (GAAP)	56,794	73,764	79,205	97,635	123,302
Depreciation & Amortization	52,795	65,756	85,534	110,234	144,234
Change in Working Capital	(13,589)	(14,736)	(23,184)	1,289	(14,976)
Deferred Taxation Charge	(4,648)	11,470	16	16	16
Other Adjustments, Net	24,525	3,260	32,757	37,817	38,137
Capital Expenditure	(77,658)	(128,320)	(205,000)	(238,000)	(250,000)
Free Cash Flow	38,219	11,194	-30,672	8,990	40,712
% Change	3.8%	-70.7%	NM	NM	352.9%
Share / Issue Repurchase	82	1,640	4	4	4
Cost of Dividends Paid	0	0	0	0	0
Change in Debt	(9,182)	9,496	(120)	(120)	(120)

Balance Sheet Data (Dec)

(US\$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash & Equivalents	101,202	123,029	90,105	96,843	135,003
Trade Receivables	55,451	67,729	79,210	88,330	99,657
Other Current Assets	34,214	38,325	48,919	53,625	58,459
Property, Plant & Equipment	252,665	357,025	476,491	604,257	710,023
Other Non-Current Assets	181,362	231,934	231,934	231,934	231,934
Total Assets	624,894	818,042	926,659	1,074,988	1,235,076
Short-Term Debt	0	0	0	0	0
Other Current Liabilities	179,431	218,005	224,891	248,218	250,404
Long-Term Debt	161,012	160,962	160,762	160,562	160,362
Other Non-Current Liabilities	NA	NA	NA	NA	NA
Total Liabilities	340,443	378,967	385,653	408,780	410,766
Total Equity	284,451	439,075	541,006	666,209	824,311
Total Equity & Liabilities	624,894	818,042	926,659	1,074,988	1,235,076

* For full definitions of iQmethodSM measures, see page 17.

Company Sector

Internet/e-Commerce

Company Description

Amazon.com is one of the world's largest online retailers with a global brand and country specific sites in the U.S., UK, Germany, France, Japan, Canada, China, Spain, Italy, Mexico and India. Amazon also owns several other online retailers and online properties including Zappos.com, Diapers.com, Woot.com, Twitch.com and others. Amazon also operates Amazon Web Services (AWS), a leading cloud-based computing platform for developers and enterprises, and Whole Foods Markets.

Investment Rationale

Amazon is an eCommerce and cloud computing market share leader that operates a leading fulfilment network and data center footprint. Given strong assets and customer focus, we think Amazon is well positioned to capitalize on the global growth of eCommerce and enterprise demand for AI capacity.

Stock Data

Average Daily Volume 45,373,444

Quarterly Earnings Estimates

	2025	2026
Q1	1.59A	1.66E
Q2	1.68A	1.76E
Q3	1.95A	1.92E
Q4	1.95A	2.36E



Key Metrics

Exhibit 1: For 1Q, we estimate revenue/EBIT of \$178.4bn/\$21.4bn, above Street at \$177.1bn/\$20.7bn

Key metrics

Metric	BofA Est.	Street	BofA vs Street	Comments
Total Company				
Amazon Unit Growth	13%	11%	2pts above	We forecast 13% y/y unit growth (1pt acceleration), representing 21% two-year stacked unit growth.
Total Revenue	\$178,447	\$177,130	\$1.3bn above	We project 15% y/y sales growth (1pt acceleration). Guidance is for \$173.5-\$178.5bn.
Gross Profit	\$93,150	\$90,857	\$2.3bn above	We project 18% y/y dollar growth (a 4pt acceleration).
Gross Margin	52.2%	51.3%	90bps above	We estimate 160bps of leverage y/y driven by a mix shift to 3P sales, advertising revenue growth, and AWS revenue growth.
GAAP Operating Income	\$21,432	\$20,734	\$698mn above	We estimate a 12.0% GAAP profit margin, above Street at 11.7%.
EBITDA	\$44,457	\$44,885	\$428mn below	We estimate a 24.9% margin, suggesting 140bps of leverage y/y and dollar growth of 21% y/y.
GAAP Diluted EPS	\$1.66	\$1.61	\$0.04 above	We project GAAP Diluted EPS \$0.04 above Street.
Non-GAAP EPS	\$2.06	\$2.01	\$0.05 above	We project Non-GAAP EPS \$0.05 above Street.
Capital Expenditures	\$42,000	\$292,885	\$250.9bn below	Capex primarily relates to AWS infrastructure, fulfillment center, and logistics investments.
Free Cash Flow	(\$39,969)	(\$11,803)	\$28.2bn below	We estimate free cash flow growth of 452% y/y.
Employees	1,567,800	1,604,493	2.3% below	We estimate 1% y/y employee growth (1pt deceleration).
Segment				
N.A. Revenue	\$101,882	\$101,926	\$44mn below	We project 10% y/y N.A. Retail sales growth (0pt deceleration).
N.A. Operating Income	\$7,687	\$6,911	\$776mn above	We estimate a 7.5% N.A. retail profit margin, above Street at 6.8%.
Int'l Revenue	\$39,103	\$38,799	\$304mn above	We project 17% y/y International sales growth (0pt deceleration) or +8% y/y growth ex-FX (2pt deceleration).
Int'l Operating Income	\$821	\$1,073	\$252mn below	We estimate a 2.1% International retail profit margin, below Street at 2.8%.
FX benefit/(drag)	\$2,849	\$3,043	\$195mn below	Our FX estimate represents a 9pt benefit to y/y International sales growth.
AWS Revenue	\$37,462	\$36,620	\$842mn above	We project 28% y/y AWS sales growth (a 4pt acceleration).
AWS Operating Income	\$12,924	\$12,888	\$36mn above	We estimate a 34.5% AWS profit margin, below Street at 35.2%.

Source: Visible Alpha, BofA Global Research estimates

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1Q Preview

Amazon will report 1Q results after market close on 4/29. Top metrics beyond headline sales & GAAP operating profit will be AWS growth (driven by Anthropic-related revenues and new power capacity coming online), AWS margins (headwinds from AI sales mix but benefit from layoffs), any incremental capex commentary & expected return on spend, backlog growth, the 2Q revenue outlook that will be shaped by further AWS ramp offset by tougher y/y comps, and mgmt.'s profit outlook given the rising energy costs & any impacts from Leo. The midpoint of Amazon's 1Q guide suggests 13% y/y growth, slowing 1ppt vs 4Q, but we think there is possible upside given our expectation for an AWS beat and industry-level data indicating Online spend accelerated q/q. We think biggest driver of the stock will continue to be around the expectations for the AI opportunity & return on capex.

For **AWS**, Street projects 1Q revenue growth of 25% y/y, a 1ppt acceleration vs 4Q and suggesting \$1bn in q/q growth. However, we think Amazon could be on track for a \$2bn q/q increase (representing a 3% beat) given capacity growth and Anthropic ARR acceleration (see [report on power capacity](#)). While AI workloads are likely lower margin than core services, we view AI traction as a constructive near-term trade-off as AI can drive a significantly larger long-term revenue base. According to CEO Andy Jassy, AWS should be able to monetize much of its 2026 capex within 6–24 months. As a result, we believe the current AI investment cycle positions AWS for attractive growth that will become increasingly evident in 2027-2028 (see [takeaways from SH Letter](#)).

For **Retail**, BAC aggregated credit & debit card data indicates total Online spend grew 11% y/y in 1Q, a 3ppt acceleration vs 4Q, which is better than Street projecting stable N.A. Retail growth at 10% y/y (see [online spend report](#)). We think Amazon could have a 1%-2% beat vs Street estimates given our expectations for continued share gains driven by faster delivery speeds, strong traction in essentials/grocery, and incremental spend from Rufus. Street will closely watch GAAP Retail margins given expectations for \$1bn in y/y Leo expenses (Street projects N.A. Retail operating margin of 6.6%, +30bps y/y) and elevated oil prices potentially impacting shipping costs in March & 2Q. However, we expect these headwinds to be partially offset by more efficient inventory placement, ramping Same-Day Delivery, and headcount savings. Amazon had a 16,000-person layoff in January that could drive up to roughly \$3bn in annualized cost savings.

Positives for the quarter could include: 1) AWS beat driven by strong growth in both core and AI workloads (Anthropic); 2) incremental data to size the AI opportunity or potential ROI on capex; 3) upside to N.A. Retail revenues given industry growth accelerated q/q; 4) solid US Retail margin expansion (ex. Leo) on headcount savings and ramp of Same-Day delivery stations; 5) opportunity for mgmt. to highlight progress with OpenAI alliance, Trainium, and customer traction for Leo, and 6) larger-than-expected benefit to margins from layoffs in October and January.

Risks could include: 1) high 2Q expectations for AWS growth, which could be as high as 30% y/y, based on investor conversations; 2) a lower 2Q margin guide, partially due to higher Leo and energy costs, as well as rapid ramp of AI-driven AWS revenues; 3) lower-than-expected Int'l Retail margins due to price competition and lower FBA fees; 4) potential for an increasing 2026 capex outlook given higher infrastructure costs and recently signed OpenAI deal expansion; and 5) potential for 2Q outlook conservatism given gas price impact uncertainty.

Estimate Changes

We raise our 1Q North America and AWS revenue projections given expected upside. For 1Q, we now project revenue/GAAP profit of \$178.4bn/\$21.4bn, up from \$177.4bn/\$21.2bn. For 2026, we project revenue/profits of \$813bn/\$100.6bn, compared to \$812bn/\$100.2bn prior. We estimate higher AWS revenues, offset by higher shipping costs, and tech & content costs (for AWS).



Exhibit 2: For 1Q, we now project revenue/GAAP profit of \$178.4bn/\$21.4bn, up from \$177.4bn/\$21.2bn prior

Estimate changes

	1Q26E			2Q26E			2026E			2027E		
	Old	New	Diff.	Old	New	Diff.	Old	New	Diff.	Old	New	Diff.
North America Revenue	101,442	101,882	440	110,298	110,298	0	468,522	467,949	-572	515,138	514,096	-1,043
International Revenue	39,538	39,103	-435	41,169	40,985	-184	181,892	180,457	-1,435	201,886	200,293	-1,593
AWS	36,437	37,462	1,024	38,591	39,826	1,235	161,446	164,721	3,275	199,744	205,824	6,079
Total Revenue	177,418	178,447	1,029	190,058	191,109	1,051	811,860	813,127	1,268	916,769	920,213	3,444
y/y	14%	15%	1%	13%	14%	1%	13%	13%	0%	13%	13%	0%
Gross profit	92,080	93,150	1,069	100,730	101,479	748	419,316	420,829	1,513	487,543	491,216	3,673
Gross Margin	51.9%	52.2%	0.3%	53.0%	53.1%	0.1%	51.6%	51.8%	0.1%	53.2%	53.4%	0.2%
Operating expenses:												
Fulfillment	27,855	28,016	162	29,079	29,240	161	122,313	122,711	398	136,776	137,518	742
Fulfillment %	15.7%	15.7%	0%	15.3%	15.3%	0.0%	15.1%	15.1%	0.0%	14.9%	14.9%	0.0%
Marketing	10,645	10,618	-27	12,354	12,377	24	51,236	50,979	-257	55,148	55,298	150
Technology & content	29,629	30,336	707	33,260	33,826	566	133,490	134,545	1,055	158,613	160,517	1,904
G & A	2,661	2,641	-20	3,041	3,039	-2	11,664	11,609	-55	12,607	12,556	-52
Other operating exp. (Inc.)	107	107	0	107	107	0	426	426	0	450	450	0
Operating expense	43,042	43,701	659	48,761	49,349	588	196,816	197,558	742	226,818	228,821	2,002
Operating expense %	24.3%	24.5%	0%	25.7%	25.8%	0.2%	24.2%	24.3%	0.1%	24.7%	24.9%	0.1%
GAAP Operating Income (loss)	21,184	21,432	248	22,890	22,890	0	100,187	100,560	373	123,949	124,877	928
Operating Margin	11.9%	12.0%	0.1%	12.0%	12.0%	-0.1%	12.3%	12.4%	0.0%	13.5%	13.6%	0.1%
GAAP Income Tax	3,914	3,959	45	4,219	4,219	0	18,426	18,493	67	22,153	22,316	162
Tax Rate (GAAP taxes)	18%	18%	0%	18%	18%	0%	18%	18%	0%	18%	18%	0%
GAAP Net Income	17,831	18,035	204	19,222	19,222	0	83,946	84,252	306	104,441	105,207	766
Diluted EPS - GAAP	\$1.64	\$1.66	\$0.02	\$1.76	\$1.76	\$0.00	\$7.67	\$7.70	\$0.03	\$9.43	\$9.49	\$0.07
Stock Comp. In Above	3,797	3,797	0	7,434	7,434	0	23,499	23,499	0	26,136	26,136	0
CSOI (GAAP Op. Inc. ex. SBC & Other)	25,087	25,336	248	30,431	30,431	0	124,112	124,485	373	150,535	151,463	928
CSOI Margin	14.1%	14.2%	0.1%	16.0%	15.9%	-0.1%	15.3%	15.3%	0.0%	16.4%	16.5%	0.0%
Adjusted Net Income	21,031	21,234	204	25,404	25,404	0	103,560	103,865	306	125,604	126,365	761
Capex	-42,000	-42,000	0	-47,000	-50,000	-3,000	-201,000	-205,000	-4,000	-238,000	-238,000	0
FCF	-39,733	-39,969	-237	9,479	7,100	-2,378	-27,999	-30,672	-2,673	9,896	8,990	-906

Source: BofA Global Research estimates

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BofA vs Street

For 1Q'26, our rev/profit forecasts are 1%/3% above Street, with upside driven mainly by our expectation for AWS to grow \$2bn q/q (vs Street projecting \$1bn q/q growth).

For 2026, our revenue estimate for \$813bn is 1% above Street at \$806bn, while our estimate for GAAP operating profit at \$100.6bn is 2% above Street at \$98.5bn.

Exhibit 3: For 1Q'26, our rev/profit forecasts are 1%/3% above Street

BofA vs Street

	1Q'26	2Q'26	3Q'26	4Q'26	2026	2027
Revenue						
BofA est.	\$178,447	\$191,109	\$202,453	\$241,118	\$813,127	\$920,213
Growth Y/Y%	15%	14%	12%	13%	13%	13%
Street	\$177,130	\$188,902	\$201,936	\$238,648	\$806,463	\$902,119
Growth Y/Y%	14%	13%	12%	12%	12%	12%
BofA vs. Street	0.7% Above	1.2% Above	0.3% Above	1.0% Above	0.8% Above	2.0% Above
GAAP Operating Profit						
BofA est.	\$21,432	\$22,890	\$25,119	\$31,118	\$100,560	\$124,877
Street	\$20,734	\$22,849	\$24,103	\$30,254	\$98,486	\$121,636
BofA vs. Street	3% Above	0% Above	4% Above	3% Above	2% Above	3% Above
GAAP EPS						
BofA est.	\$1.66	\$1.76	\$1.92	\$2.36	\$7.70	\$9.49
Street	\$1.61	\$1.78	\$1.91	\$2.34	\$7.72	\$9.31
BofA vs. Street	3% Above	1% Below	1% Above	1% Above	0% Below	2% Above

Source: Visible Alpha, BofA Global Research estimates

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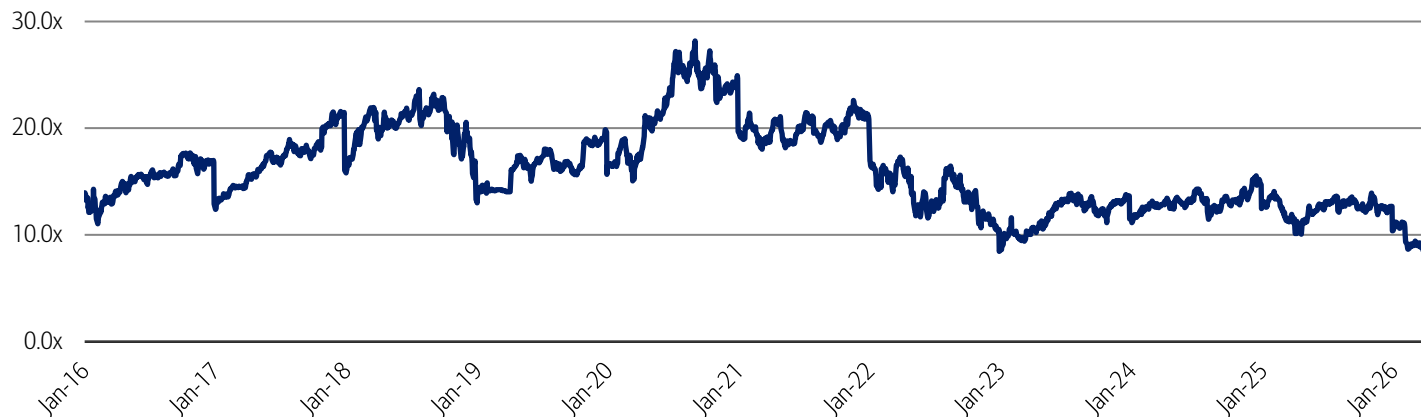


Valuation attractive vs history

Amazon stock is up 9% YTD vs the S&P 500 up 4%, with the recent Shareholder Letter driving optimism on AI and Amazon's ability to monetize 2026 capex in 2027-2028 (see [report on Shareholder Letter](#)). Despite the recent outperformance, we believe Amazon remains attractively valued on a historical basis; per Bloomberg, Amazon is now valued at 11x 2027 EV/EBITDA, below the 10-year average of 16x and in the lower half of the historic range of 8x-28x.

Exhibit 4: Amazon is valued at 11x 2027 EV/EBITDA, below the historical average of 16x since 2016

Historic EV/EBITDA multiple



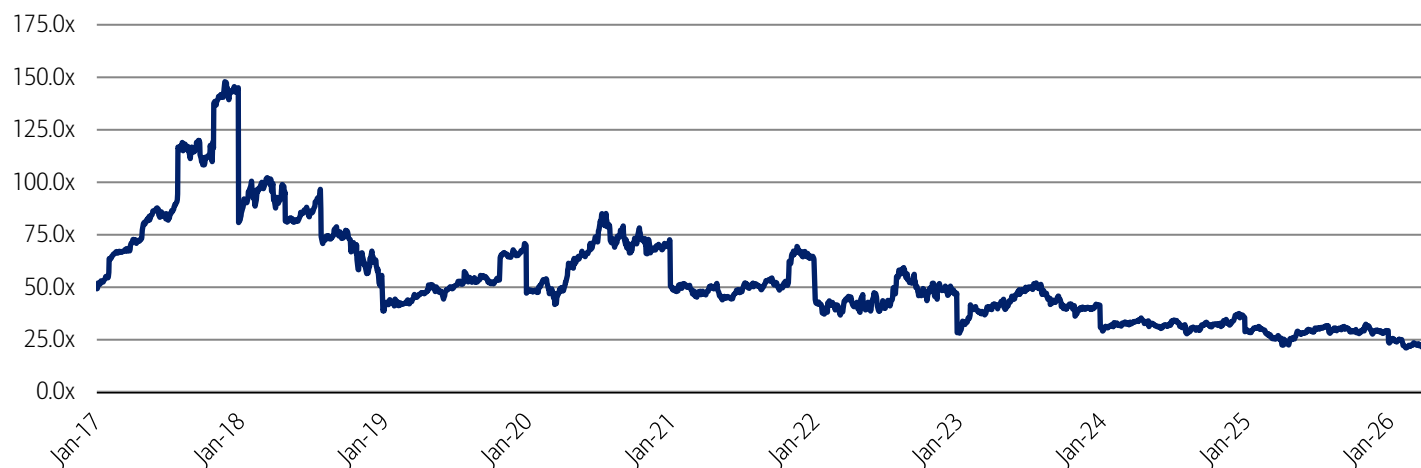
Source: Bloomberg

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For P/E, Amazon is valued at 27x 2027 EPS (26x Street), below the 10-year average of 56x. Amazon is valued at premium to Microsoft at 20x, roughly in line with Google at 26x, and a discount to Walmart at 39x. We think high-profile AI and space IPOs over the next two years could provide favorable compares for Amazon's AWS valuation and contribute to multiple expansion.

Exhibit 5: Amazon is valued at 27x 2027 EV/EBITDA, below the historical average of 56x since 2016

Historic P/E multiple



Source: Bloomberg

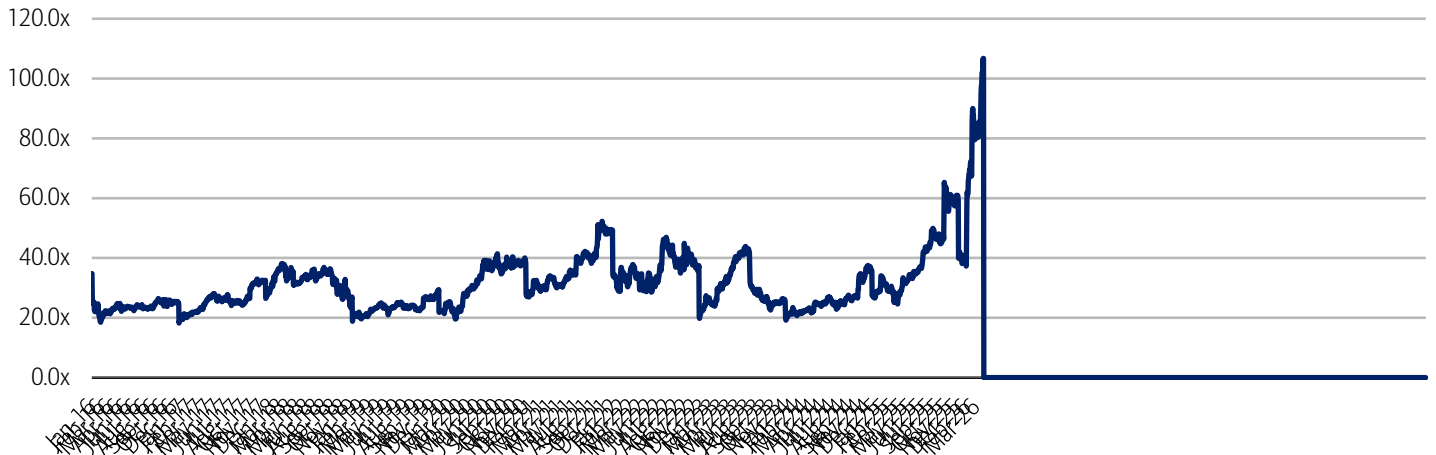
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On a free cash flow basis, Amazon is valued at 107x 2027 FCF, which compares to a 10-year average at 32x. Amazon's FCF multiple has expanded significantly since the beginning of 2025 given an increasing capex outlook.



Exhibit 6: Amazon is valued well above its historical average on a FCF basis

Historic FCF multiple



Source: Bloomberg

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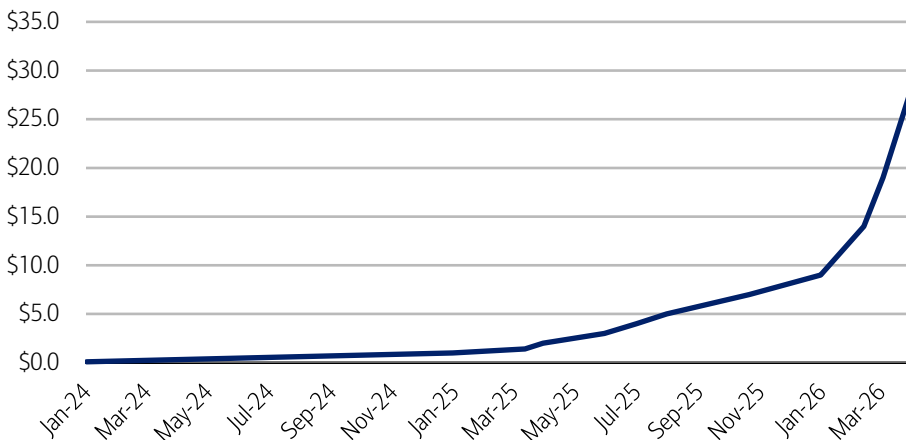
AWS: Anthropic ramp a positive driver

Anthropic ARR surpasses \$30bn

For 1Q, Street projects AWS to add \$1bn in q/q revenues (suggesting 25% y/y growth). We believe AWS growth could be closer to \$2bn q/q (or 28% y/y) driven by accelerating demand from Anthropic. According to Anthropic, ARR increased from \$9bn at the end of December to \$30bn by early March, largely reflecting strong Enterprise adoption; see [our report on Anthropic's ARR growth](#).

Exhibit 7: Anthropic's ARR has surpassed \$30bn

Anthropic's annualized revenue run-rate



Source: Anthropic, Bloomberg, CNBC, Inc.com, PYMNTS

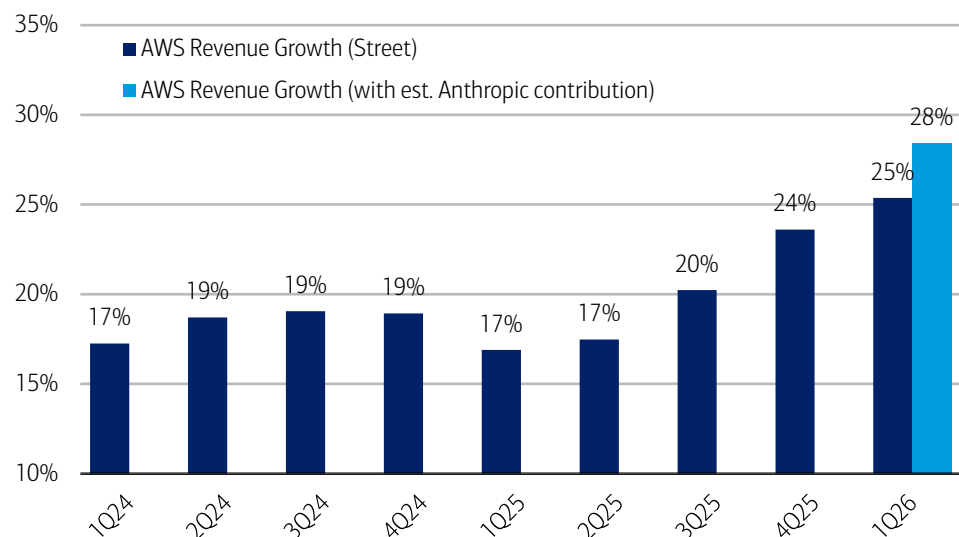
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We estimate that Anthropic's 1Q ARR growth translates to \$3bn+ in q/q revenues. Given that AWS remains Anthropic's primary cloud provider and training partner, and assuming a q/q increase in training spend, we estimate Anthropic alone could contribute \$1.3bn+ to AWS q/q revenues in 1Q (this is above Street expectations for \$1bn total q/q AWS growth). We believe Amazon could be on track for \$2bn total q/q when factoring in core workload growth, which would suggest 28% y/y growth. We also expect strong pricing and demand trends for core cloud, and key driver of revenues for next three quarters will be Amazon's capacity growth (see [report on AWS capacity](#)).



Exhibit 8: We estimate that Anthropic's usage ramp can drive further acceleration in AWS revs.

AWS Revenue growth (y/y)



Source: Company reports, Visible Alpha, BofA Global Research estimates

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AI Revenues are now 10% of AWS, but possibly margin dilutive

CEO Andy Jassy disclosed that AI generated \$15bn in revenue on a run-rate basis in 1Q, suggesting AI is now 10% of total sales based on Visible Alpha estimates. Mgmt. indicated that growth in AI has been driven by AWS's wide range of offerings (from SageMaker, Bedrock, and AgentCore), customers preferring to run compute near their existing data to reduce latency, and AWS's strong operational performance (AWS's Service Level Agreement guarantees EC2 has 99.99% uptime). As well, Mr. Jassy suggests a halo effect from AI, indicating that customers consume "a lot" more non-AI services as AI usage grows (we believe AI can accelerate overall Cloud growth given 85% of global IT spend remains on-premises).

While we expect an AWS revenue beat driven by Anthropic demand, the company has suggested that AI margins are lower than core cloud workloads, which could limit upside to AWS profit estimates. Given that AI is 10% of total sales, and if we assume a (e.g.) 15% operating margin, the AI contribution could be impacting overall AWS margins by approx. 2ppts (Bloomberg projects 35% GAAP margins for 1Q, suggesting core GAAP margins would be closer to 37%). If AI margins remain below core margins, this mix-related headwind could increase as AI services grow.

Exhibit 9: If AI represents 10% of sales at 15% margins, we estimate that AI has a 2ppt impact to AWS margins

Sensitivity analysis: Illustrative impact to overall AWS margins assuming varying AI sales and margin scenarios

		AI sales as % of total										
		10%	11%	12%	13%	14%	15%	16%	17%	18%	19%	20%
AI margin	25%	-1%	-1%	-1%	-2%	-2%	-2%	-2%	-2%	-2%	-3%	-3%
	20%	-2%	-2%	-2%	-2%	-3%	-3%	-3%	-3%	-4%	-4%	-4%
	15%	-2%	-3%	-3%	-3%	-3%	-4%	-4%	-4%	-5%	-5%	-5%
	10%	-3%	-3%	-4%	-4%	-4%	-5%	-5%	-5%	-6%	-6%	-7%
	5%	-3%	-4%	-4%	-5%	-5%	-6%	-6%	-6%	-7%	-7%	-8%
	0%	-4%	-5%	-5%	-5%	-6%	-6%	-7%	-8%	-8%	-9%	-9%

Source: BofA Global Research estimates

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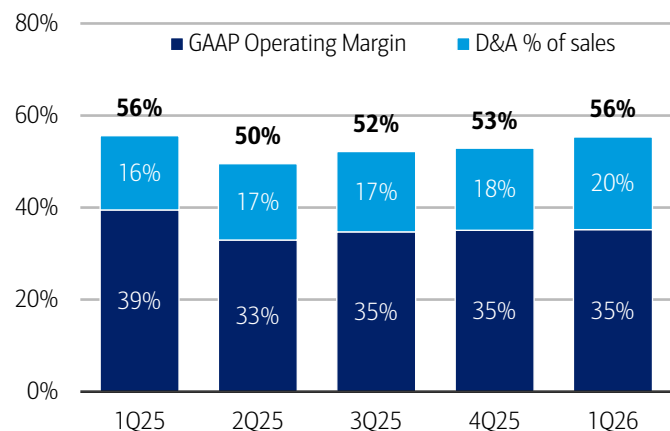
Depreciation expense ramp remains a near-term headwind

For 1Q, Bloomberg Street estimates have AWS GAAP operating margins at 35%, compressing 4ppts y/y, reflecting a combination of revenue mix shifting toward lower-margin AI workloads and ramping depreciation expense. We think margin headwinds can be offset somewhat by stronger margins on core workloads, greater use of lower-cost Graviton & Trainium chips, and continued headcount management. Like Retail, we anticipate rising energy prices may have modest impact on 2Q AWS margins (see below). EU natural gas prices have increased approx. 30% since the Gulf Conflict started and Amazon called out a natural gas price headwind in 2022.

Street projects 1Q depreciation expense to increase to 20% of AWS revenue in 1Q, representing a 4ppt y/y headwind. Elevated depreciation has been driven by AWS's large capex ramp, with another significant uptick expected in 2026. That said, Mr. Jassy indicates Amazon has strong visibility into the returns on AI investments, citing "substantial" customer commitments that supports mgmt.'s confidence in its 2026 capex returns. While Amazon must invest ahead of monetization (Street ests. 66% y/y AWS capex growth in 2026 vs 25% sales growth), Mr. Jassy suggested this timing lag should normalize. Upfront investments include land, power, buildings, chips, servers, & networking gear and are typically monetized in 6-24 months, meaning Amazon will likely monetize much of the 2026 spend in 2027-2028, laying a massive foundation for future growth, in our view.

Exhibit 10: GAAP margins have compressed from peak levels

AWS EBITDA margins (bold)

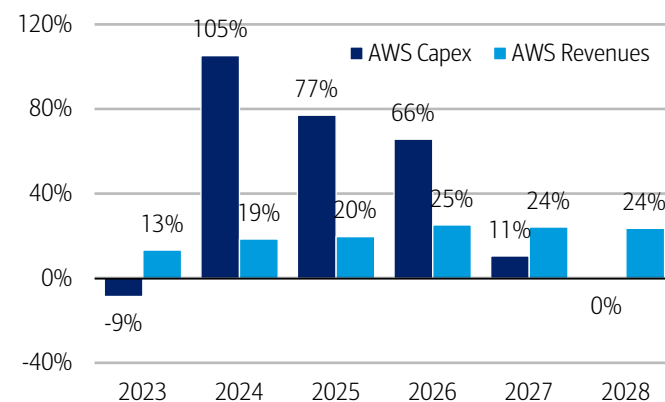


Source: Company reports, Bloomberg, Visible Alpha

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Exhibit 11: Street projects revenue growth to outpace capex in 2027/2028

Y/Y change in capex and AWS revenues



Source: Company reports, Visible Alpha

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AWS's large chip opportunity

In the CEO Shareholder Letter, Mr. Jassy also highlighted strong traction for Amazon's 1P chips (Trainium, Graviton, Inferentia, & Nitro), disclosing that the chip business now generates \$20bn in annualized sales and is growing triple-digits (up from \$10bn in 4Q'25). For Trainium3, which Amazon indicated is nearly fully subscribed, Mr. Jassy drew parallels to the CPU space with Graviton vs Intel (98% of the top 1,000 EC2 customers use Graviton). Beyond driving demand, Mr. Jassy notes that these chips are structurally positive for AWS profitability, and expects Trainium can save "tens of billions" of capex dollars per year and provide several hundred basis points of operating margin vs other chips. Importantly, the Letter also indicated that Amazon could sell "racks" of chips to third-parties in the future, a big new opportunity.



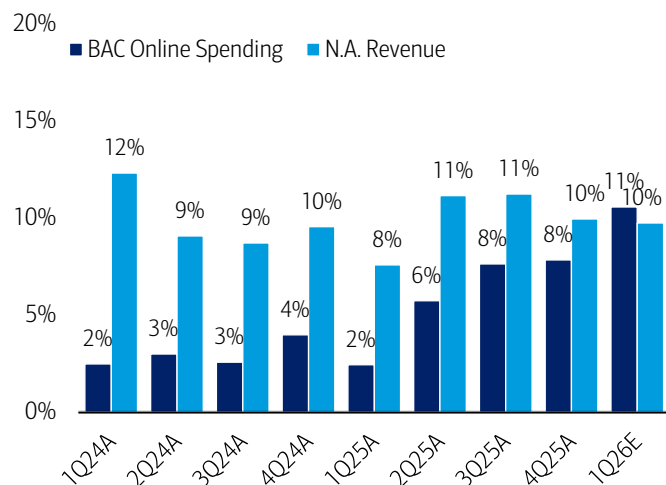
Retail: expecting beat for N.A. Retail

Card data suggests upside to Street estimates

BAC aggregated credit & debit card data indicates 1Q growth for total Online spending accelerated 3ppts vs to 4Q, while Bloomberg Second Measure indicates Amazon's observed sales growth was stable. Street projects N.A. Retail sales growth of 10% y/y, stable from 4Q, so we think Amazon N.A. could be trending for a 1%-2% beat vs Street estimates based on industry data. We think potential upside is driven by continued share gains from faster delivery speeds, strong traction in essentials/grocery, and incremental spend from Rufus. See the latest [BofA on USA](#) note for an explanation of the methodology, disclaimers, and limitations of BAC card data.

Exhibit 12: BAC card data indicates Online spend grew 11% y/y in 1Q, a 3ppt acceleration vs 4Q

Y/Y change in BAC Online spending and N.A. Revenue

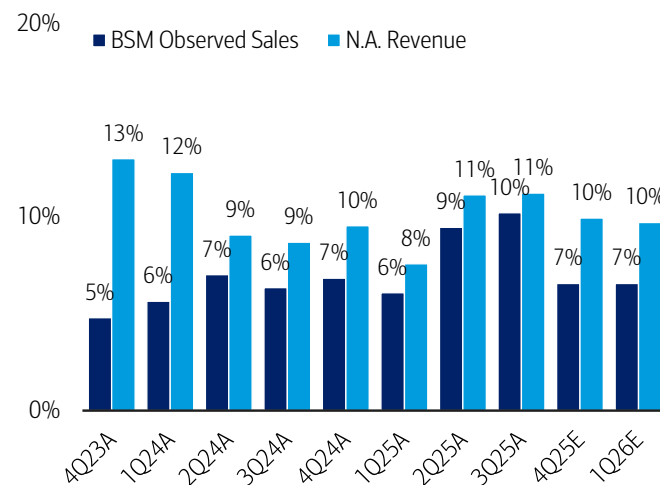


Source: Company reports, Visible Alpha, Bloomberg, BAC Internal Data,

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Exhibit 13: Bloomberg Second Measure indicates Amazon observed sales grew 7% y/y in 1Q, stable vs 4Q

Y/Y change in Observed Sales and N.A. Revenue



Source: Company reports, Visible Alpha, Bloomberg Financial LP – ALTD <GO>

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Mgmt. expects Leo to drive \$1bn of y/y costs in 1Q

Last quarter, mgmt. indicated that Leo would represent a \$1bn y/y headwind to N.A. Retail profits in 1Q, which we estimate is about 100bps of N.A. margin pressure. We expect these costs to grow by over \$300mn q/q in 2Q (Amazon plans three launches in April alone, and indicated there would be 20+ launches in 2026 and 30+ in 2027). Given Amazon's expectations to ramp launches and commercialize Leo in mid-2026, we believe the company could start capitalizing costs in 3Q'26 (with the near-term build cost peaking in 2Q). We also think the Globalstar acquisition could position Amazon Leo for more use cases and opportunity to monetize (see [report from April 14](#)). Early customers include Apple, Delta Air Lines, JetBlue, and AT&T.



Exhibit 14: Amazon is expected to have more launches in April

Amazon Leo launches

Mission	Rocket	Date	Satellites
Completed			241
1	ULA Atlas V 551	04/28/25	27
2	ULA Atlas V 551	06/23/25	27
3	SpaceX Flacon 9	07/16/25	24
4	SpaceX Flacon 9	08/11/25	24
5	ULA Atlas V 551	09/25/25	27
6	SpaceX Flacon 9	10/13/25	24
7	ULA Atlas V 551	12/16/25	27
8	Arianespace Ariane 64	02/12/26	32
9	ULA Atlas V 551	04/04/26	29
Upcoming			61
10	ULA Atlas V 551	04/27/26	29
11	Arianespace Ariane 64	04/28/26	32

Source: Company reports

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Elevated oil prices could be headwind to 2Q profits

The conflict in the Middle East has driven oil and gas prices meaningfully higher, with WTI Crude Oil up 35% y/y in March while US CPI data indicates gasoline was up 19%. As Amazon manages a much bigger portion of its own delivery services (vs contracting with USPS), we think fuel costs could be a modest q/q headwind in 2Q. To help offset, Bloomberg reports that Amazon has implemented a 3.5% fuel & logistics fee to FBA customers (effective April 12) and Multichannel Fulfillment customers (May 2). Bloomberg indicates the surcharge applies only to shipping costs rather than the item's sales price, and Amazon notes that fees remain "meaningfully lower" than recent price hikes from competitors (USPS raised prices by up to 8% on some packages, per Bloomberg).

Retail margin drivers to offset pressures

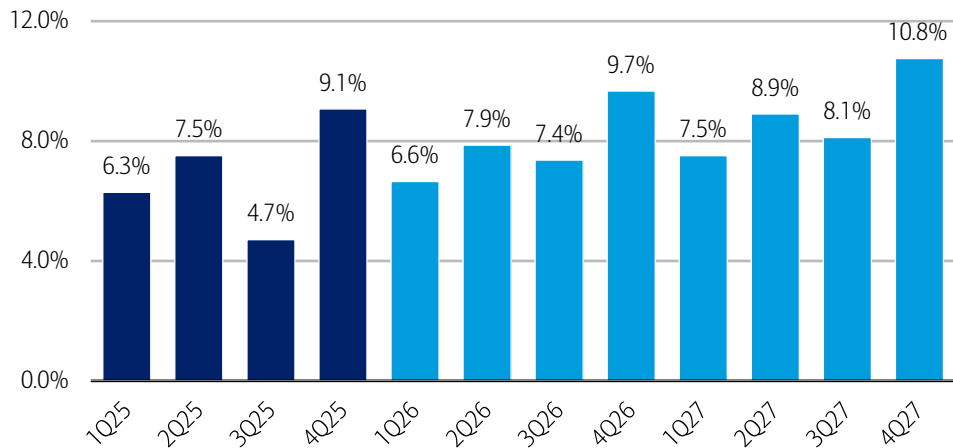
Despite headwinds from Leo investments and rising oil prices, we see several drivers that could still support N.A. Retail margin expansion:

1. **Advertising growth.** We project that ad revenues would grow 23% y/y in 1Q'26 driven by continued strength in Sponsored Products, ramping Prime Video, Demand-Side Platform adoption, and (while still small) integrating ad capabilities into Rufus. Assuming 55% margin on US advertising sales (\$12.4bn BofA est.), we estimate that ads can generate \$6.8bn of profits and contribute 6.6ppts to N.A. Retail margins (up 30bps q/q).
2. **Same-day delivery buildout.** In the 2026 Shareholder Letter, Amazon disclosed that there are now 85+ Same-Day Fulfillment Centers in the US, which have already delivered 500mn+ same-day units YTD (see [our takeaways here](#)). Mgmt. has previously suggested that same-day deliveries can be more cost-efficient per unit as they involve shorter travel distances and fewer network touch points.
3. **Headcount rationalization.** Over the last 6 months, Amazon eliminated 30,000 corporate roles as part of its effort to reduce managerial layers and remove bureaucracy. Given employees have 90 days to find a new internal role before receiving severance, we expect cost savings from the October and January layoffs to begin largely in 1Q and 2Q, respectively. Assuming average compensation (salary + bonus + benefits) across corporate functions is \$200k (ZipRecruiter estimates \$133k for salary), we estimate the combined layoffs could represent up to \$6bn in annualized savings. While some employees may stay with the company in new roles, we estimate cost savings could translate to an approx. 5%-6% benefit to our \$100bn GAAP operating income projection for 2026.



Exhibit 15: Street projects 1Q'26 N.A Retail margins to expand 30bps y/y to 6.6%

N.A. Retail margins



Source: Visible Alpha

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Guidance history and outlook

During the last three years, the midpoint of Amazon's 2Q revenue guide has averaged 3% above 1Q reported revenue. Based on recent guidance history, our 2Q outlook for accelerating AWS sales growth (Anthropic + capacity unlocks), healthy Online shift for eCommerce, and 1Q FX moves, **we expect a 2Q revenue guidance midpoint of \$187.5bn (+5% q/q vs our \$178.4bn 1Q est.). Assuming a range of \$5bn, we expect Amazon to guide to \$185bn-\$190bn in 2Q revenues.** The Street estimates 2Q sales at \$188.9bn above our expected midpoint, consistent with actual results beating the midpoint of guidance by over 3% over the last three years.

The midpoint of Amazon's 2Q operating income guidance has averaged approx. 20% below 1Q reported income for the last three years, with 2Q guidance last year 17% below 1Q. Given Amazon's higher margin AWS growth, offset by usual conservatism, ramp in Leo expenses, and potential energy/gas cost headwinds, **we expect a 2Q operating profit midpoint of \$19.5bn (-9% q/q vs our \$21.4bn 1Q est.). Assuming a range of \$4bn, we expect Amazon to guide to \$17.5bn-\$21.5bn in 2Q profits.** Street estimates 2Q profit at \$22.9bn, above our expected midpoint, though we note Amazon has beat the 2Q guidance midpoint by over 20% in recent years. If 1Q has significant profit upside, the 2Q profit guide could be higher.



Exhibit 18: We expect Amazon to guide \$183.5bn-\$188.5bn in 2Q revenue and \$14.5bn-\$18.5bn in profits

2Q guidance analysis

	1Q20A	2Q20A	1Q21A	2Q21A	1Q22A	2Q22A	1Q23A	2Q23A	1Q24A	2Q24A	1Q25A	2Q25A	1Q26E	2Q26E
Revenue	\$75,452	\$88,912	\$108,518	\$113,080	\$116,444	\$121,234	\$127,358	\$134,383	\$143,313	\$147,977	\$155,667	\$167,702	\$177,130	\$188,902
q/q		18%		4%		4%		6%		3%		8%		7%
Guidance Midpoint		78,000		113,000		118,500		130,000		146,500		161,500		
q/q guidance		3%		4%		2%		2%		2%		4%		
Guidance Range		6,000		6,000		5,000		6,000		5,000		5,000		
Rev vs guide mdpt (%)		14.0%		0.1%		2.3%		3.4%		1.0%		3.8%		
Rev vs guide mdpt (\$)		\$10,912		\$80		\$2,734		\$4,383		\$1,477		\$6,202		
GAAP Profit	\$3,989	\$5,843	\$8,865	\$7,702	\$3,669	\$3,317	\$4,774	\$7,681	\$15,307	\$14,672	\$18,405	\$19,171	\$20,734	\$22,849
q/q		46%		-13%		-10%		61%		-4%		4%		10%
Operating margin		6.6%		6.8%		2.7%		5.7%		9.9%		11.4%		12.1%
Guidance Midpoint		\$4,750		4,500		\$1,000		3,750		12,000		\$15,250		
q/q guidance (%)		19%		-49%		-73%		-21%		-22%		-17%		
q/q guidance (\$)		\$761		(\$4,365)		(\$2,669)		(\$1,024)		(\$3,307)		(\$3,155)		
Guidance Range		3,500		3,000		4,000		3,500		4,000		4,500		
Ol vs guide mdpt (%)		23.0%		71.2%		231.7%		104.8%		22.3%		25.7%		
Ol vs guide mdpt (\$)		\$1,093		\$3,202		\$2,317		\$3,931		\$2,672		\$3,921		

*Street Estimates

Source: Company reports, Bloomberg, BofA Global Research

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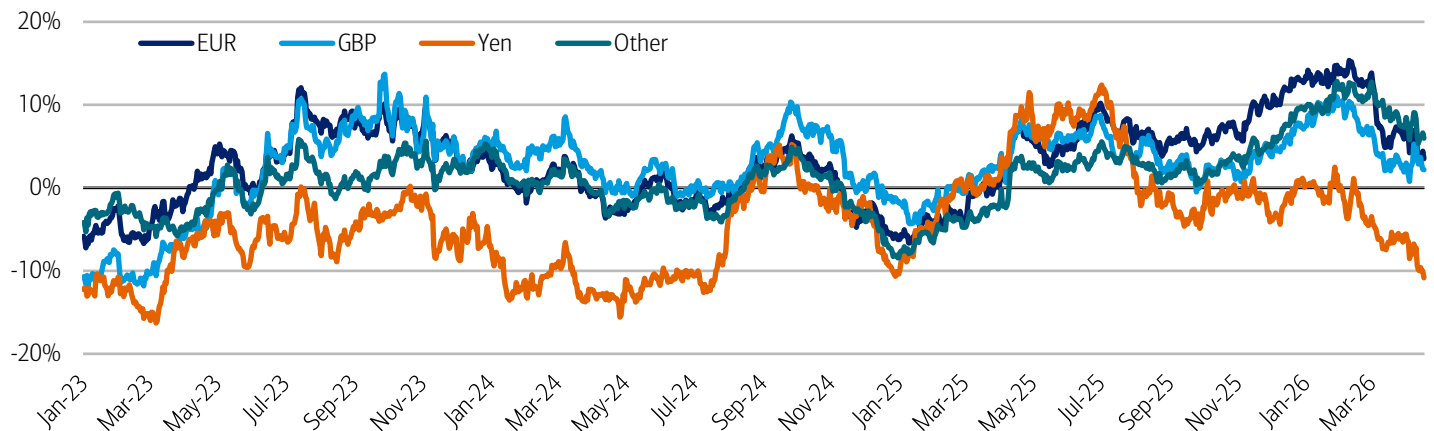
FX: tailwind fading slightly on Y/Y basis

Companies with large international operations that convert foreign currency denominated sales to US\$ will have a tailwind from FX translation in 1Q, though benefits are fading. We estimate Amazon to generate approximately 25% of revenue internationally, with roughly 10% Euro exposure, 5% GBP exposure, & 5% Yen exposure.

Since Amazon reported earnings on Feb. 5 (through 4/17), the Euro and GBP are down marginally vs the US\$ (less than 1%), and the Yen is down about 1.0%. For full 1Q, the Euro was up around 11.2%, the GBP was up 7.0%, and the Yen was down 2.8%. Guidance was for a 180bps tailwind, & rates have remained somewhat stable-to-down slightly, however Street projects a 200bps benefit. For 2Q, Street ests. a 30bps tailwind to total revs., & based on current FX rates, we estimate the potential for FX to in line with estimates. For AWS, Amazon generally bills in US\$, so FX has a limited impact on sales, though expenses in local currency could pressure GAAP operating profit when the US\$ depreciates.

Exhibit 17: We expect FX will be a tailwind to revenues in 1Q, but Y/Y tailwinds are fading

Y/Y change in FX rates



Source: Bloomberg, BofA Global Research

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Exhibit 20: For 1Q, the Euro was up 11% vs the US\$, the GBP was up 7%, and Yen was down 3%
Expected change in FX

Average Spot Rates					Expected Y/Y Change					Expected Q/Q Change				
	Euro	GBP	Yen	Other		Euro	GBP	Yen	Other		Euro	GBP	Yen	Other
1Q25	1.052	1.260	0.007	0.253	1Q25	-3%	-1%	-3%	-5%	1Q25	-1%	-2%	0%	-2%
2Q25	1.135	1.336	0.007	0.266	2Q25	5%	6%	8%	2%	2Q25	8%	6%	5%	5%
3Q25	1.169	1.348	0.007	0.272	3Q25	6%	4%	1%	3%	3Q25	3%	1%	-2%	2%
4Q25	1.164	1.330	0.006	0.272	4Q25	9%	4%	-1%	5%	4Q25	0%	-1%	-4%	0%
1Q26E	1.170	1.348	0.006	0.279	1Q26E	11%	7%	-3%	10%	1Q26E	1%	1%	-2%	3%
2Q26E	1.166	1.339	0.006	0.279	2Q26E	3%	0%	-9%	5%	2Q26E	0%	-1%	-1%	0%
3Q26E	1.166	1.339	0.006	0.279	3Q26E	0%	-1%	-7%	3%	3Q26E	-	-	-	-
4Q26E	1.166	1.339	0.006	0.279	4Q26E	0%	1%	-3%	3%	4Q26E	-	-	-	-
1Q27E	1.166	1.339	0.006	0.279	1Q27E	0%	-1%	-1%	0%	1Q27E	-	-	-	-

Source: Bloomberg, BofA Global Research | as of 4/17/26

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Valuation

We raise our \$PO to \$298 (from \$275), now based on our SOTP analysis that values AWS at 9x 2027 sales (up from 8x given higher growth expectations), 1P Retail at 1.0x, 3P Retail at 2.5x, and Advertising at 5.0x. Our 2027 sales multiples compare to 5.3x for SaaS comps, 1.3x for Retail comps, 2.3x for Marketplace comps, and 4.4x for Online Media comps. Our PO implies a 3.5x blended 2027 P/Sales multiple, at the high-end of Amazon's historical range of 1.0x-3.5x, and a 31x '27 EPS multiple.

Exhibit 21: Our \$298 PO implies a 3.5x blended 2027 Pirce-to-Sales multiple
Price Objective

Metric		2027 Comps	
AWS sales	205,824		
P/S multiple	9x	SaaS	5.3x
AWS valuation	1,852,415		
AWS per share	\$169		
1P Retail sales (incl. Subscription)	403,156		
P/S multiple	1.0x	Retail	1.3x
1P Retail valuation	403,156		
1P Retail per share	\$37		
3P Retail sales	208,422		
P/S multiple	2.5x	Marketplace	2.3x
3P Retail valuation	521,055		
3P Retail per share	\$48		
Advertising sales	96,017		
P/S multiple	5.0x	Online Media	4.4x
Advertising valuation	480,084		
Advertising per share	\$44		
Implied Market Cap (\$mn)	3,256,710		
Shares (YE 2026)	10,944		
Price Objective	\$298		

Source: BofA Global Research estimates

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At a blended 3.5x '27 Sales multiple, our PO values Amazon at a premium to 3P Marketplace and Retail peers, but a discount to Online Media at 4.4x and Software-as-a-Service peers at 5.3x. For P/E, our PO values Amazon at 31x 2027 EPS, above Microsoft/Google at 20x/26x, but still a discount to Walmart at 39x. We think high-profile AI and space IPOs over the next two years could provide favorable compares for Amazon's AWS valuation and contribute to multiple expansion.



Exhibit 22: Amazon is valued at 27x 2027 EPS, a premium to MSFT (20x), roughly in line with GOOG (26x), and a discount to WMT (39x)

Amazon comp table

	04/18/26 Price	Revenue Growth		Gross Margin		EBITDA Margin		EV/ Revenue		EV/EBITDA		GAAP P/E	
		2026	2027	2026	2027	2026	2027	2026	2027	2026	2027	2026	2027
Online Media													
Alphabet	\$342	19%	16%	70%	69%	55%	57%	10.0x	8.6x	18x	15x	29x	26x
Meta	\$689	25%	18%	79%	78%	56%	58%	7.0x	5.9x	12x	10x	23x	20x
Pinterest	\$20	13%	12%	79%	79%	29%	30%	2.0x	1.8x	7x	6x	31x	23x
Snap	\$6	13%	10%	59%	60%	17%	19%	1.7x	1.6x	10x	8x	NA	NA
Average		17%	14%	72%	72%	39%	41%	5.2x	4.4x	12x	10x	28x	23x
SaaS													
Microsoft	\$423	16%	16%	67%	67%	60%	61%	9.0x	7.7x	15x	13x	23x	20x
Oracle	\$175	25%	41%	63%	56%	55%	53%	8.1x	5.7x	15x	11x	29x	24x
Salesforce	\$182	11%	10%	78%	78%	43%	43%	3.4x	3.1x	8x	7x	23x	19x
ServiceNow	\$97	20%	18%	77%	77%	37%	38%	5.8x	4.9x	15x	13x	42x	33x
Veeva	\$168	13%	12%	75%	76%	45%	46%	5.8x	5.2x	13x	11x	27x	24x
Average		17%	19%	72%	71%	48%	48%	6.4x	5.3x	13x	11x	29x	24x
3P Marketplaces													
Alibaba	\$141	9%	12%	41%	42%	14%	18%	1.6x	1.5x	79x	57x	23x	18x
Allegro	\$31	13%	12%	63%	64%	29%	30%	2.7x	2.4x	33x	28x	17x	13x
eBay	\$105	9%	5%	72%	72%	31%	32%	4.2x	4.0x	14x	13x	23x	20x
Etsy	\$62	-5%	4%	72%	72%	29%	29%	2.7x	2.6x	9x	9x	20x	18x
Mercado Libre	\$1,856	35%	24%	44%	44%	12%	13%	2.5x	2.0x	21x	16x	38x	27x
Pinduoduo	\$105	13%	12%	56%	57%	24%	25%	1.2x	1.1x	35x	30x	38x	33x
Average		13%	11%	58%	59%	23%	24%	2.5x	2.3x	32x	26x	26x	21x
Retail													
Advanced Auto Parts	\$57	-1%	3%	45%	45%	7%	8%	0.7x	0.7x	10x	9x	22x	15x
AutoZone	\$3,572	8%	8%	52%	53%	22%	23%	3.4x	3.1x	16x	14x	23x	20x
Best Buy	\$66	0%	1%	23%	23%	6%	6%	0.4x	0.4x	6x	6x	10x	10x
Macys	\$20	-1%	-1%	41%	41%	8%	8%	0.4x	0.4x	5x	5x	9x	8x
Target	\$128	2%	3%	28%	28%	7%	8%	0.7x	0.7x	9x	9x	16x	15x
TJX Companies	\$161	6%	6%	31%	32%	14%	14%	2.9x	2.7x	21x	19x	32x	29x
Walmart	\$128	5%	5%	25%	25%	7%	7%	1.4x	1.4x	22x	20x	44x	39x
Average		3%	3%	35%	35%	10%	10%	1.4x	1.3x	13x	12x	22x	19x
Amazon	\$251	12%	12%	51%	53%	26%	28%	3.4x	3.0x	13x	11x	32x	27x

Source: Bloomberg, BofA Global Research

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Price objective basis & risk

Amazon.com (AMZN)

Our \$298 PO is based on our SOTP analysis that values AWS at 9x 2027E sales, 1P Retail at 1.0x, 3P Retail at 2.5x, and Advertising at 5.0x. Our 2027 sales multiples compare to 5.3x for SaaS comps, 1.3x for Retail comps, 2.3x for Marketplace comps, and 4.4x for Online Media comps. Our PO implies 3.5x blended 2027E P/Sales, and 31x 2027E EPS.

Downside risks to our estimates and price objective are increasing competition from offline and local retailers, share loss to Cloud competitors with advanced AI technology, elevated investment needs for AWS that could pressure margins and macro-economic pressures on consumer spend. The stock has been subject to heavy volatility in the past, and this volatility could increase due to economic uncertainty.

Analyst Certification

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US - Internet Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Alphabet	GOOGL	GOOGL US	Justin Post
	Alphabet	GOOG	GOOG US	Justin Post
	Amazon.com	AMZN	AMZN US	Justin Post
	AppLovin	APP	APP US	Omar Dessouky, CFA
	Booking Holdings Inc	BKNG	BKNG US	Justin Post
	Chewy Inc	CHWY	CHWY US	Michael McGovern
	DoorDash	DASH	DASH US	Justin Post
	DoubleVerify Holdings, Inc.	DV	DV US	Omar Dessouky, CFA
	Ethos	LIFE	LIFE US	Michael McGovern
	Expedia	EXPE	EXPE US	Justin Post
	LegalZoom	LZ	LZ US	Michael McGovern
	Magnite, Inc.	MGNI	MGNI US	Omar Dessouky, CFA
	Meta Platforms Inc	META	META US	Justin Post
	Navan, Inc.	NAVN	NAVN US	Nafeesa Gupta
	Peloton	PTON	PTON US	Nafeesa Gupta
	Playtika	PLTK	PLTK US	Omar Dessouky, CFA
	Roblox Corp. Class A	RBLX	RBLX US	Omar Dessouky, CFA
	Take-Two Interactive	TTWO	TTWO US	Omar Dessouky, CFA
	Tripadvisor	TRIP	TRIP US	Nafeesa Gupta
	Uber	UBER	UBER US	Justin Post
	Wayfair	W	W US	Michael McGovern
	Wix.com	WIX	WIX US	Michael McGovern
NEUTRAL				
	Airbnb	ABNB	ABNB US	Justin Post
	Carvana	CVNA	CVNA US	Michael McGovern
	Coursera Inc.	COUR	COUR US	Nafeesa Gupta
	Digital Turbine, Inc	APPS	APPS US	Omar Dessouky, CFA
	Duolingo	DUOL	DUOL US	Omar Dessouky, CFA
	eBay	EBAY	EBAY US	Michael McGovern
	Etsy, Inc.	ETSY	ETSY US	Michael McGovern
	Global Business Travel Group, Inc.	GBTG	GBTG US	Nafeesa Gupta
	Instacart	CART	CART US	Justin Post
	Match Group	MTCH	MTCH US	Omar Dessouky, CFA
	Pinterest	PINS	PINS US	Justin Post
	Reddit	RDDT	RDDT US	Justin Post
	Snap	SNAP	SNAP US	Justin Post
	StubHub Holdings	STUB	STUB US	Justin Post



US - Internet Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Unity	U	U US	Omar Dessouky, CFA
	Zillow	Z	Z US	Omar Dessouky, CFA
	Zillow Group	ZG	ZG US	Omar Dessouky, CFA

UNDERPERFORM

	ACV Auctions	ACVA	ACVA US	Michael McGovern
	Bumble	BMBL	BMBL US	Omar Dessouky, CFA
	Cardlytics, Inc	CDLX	CDLX US	Omar Dessouky, CFA
	Ibotta	IBTA	IBTA US	Nitin Bansal, CFA
	Lyft, Inc.	LYFT	LYFT US	Justin Post
	Vivid Seats	SEAT	SEAT US	Steven McDermott
	Yelp	YELP	YELP US	Nitin Bansal, CFA

iQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

EV / EBITDA

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill

Amortization

Shareholders' Equity

Sales

N/A

N/A

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

Basic EBIT + Depreciation + Amortization

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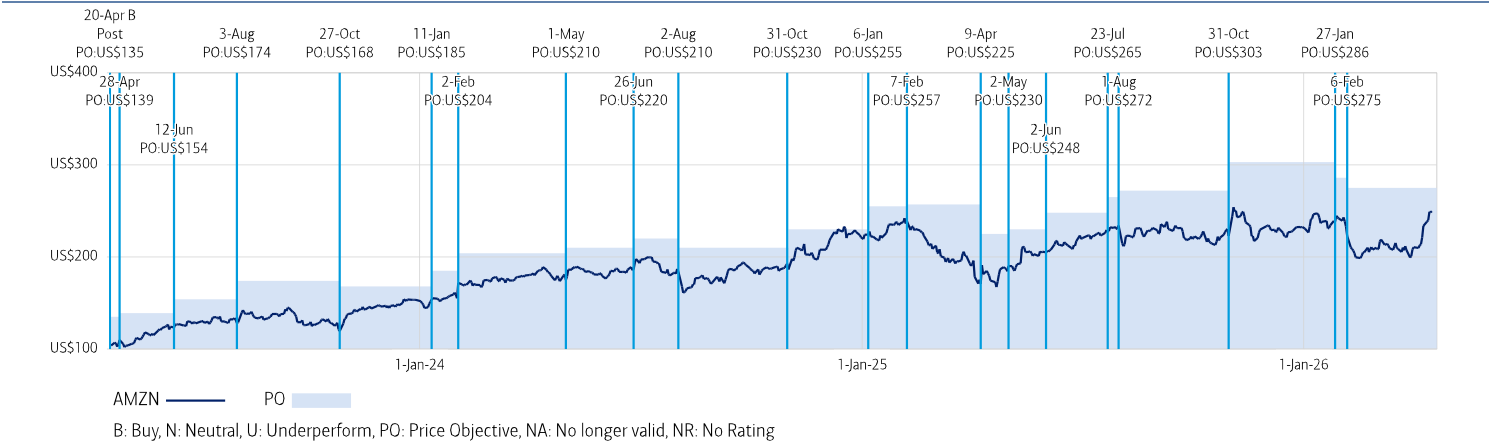
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Amazon.com (AMZN) Price Chart



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Equity Investment Rating Distribution: Technology Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	234	58.50%	Buy	123	52.56%
Hold	90	22.50%	Hold	43	47.78%
Sell	76	19.00%	Sell	23	30.26%

Equity Investment Rating Distribution: Global Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1993	55.76%	Buy	1186	59.51%
Hold	821	22.97%	Hold	509	62.00%
Sell	760	21.26%	Sell	400	52.63%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

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